LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

WHAT IS SUPPLIER'S CREDIT?

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Chapter 1: Product Overview & Core Concepts of Supplier's Credit

Supplier's Credit (SC) represents fundamental structural pillars in global trade finance and working capital structures, especially within the regulatory framework of the Republic of India. In its simplest conceptual form, Supplier's Credit is a cross-border trade credit arrangement where an overseas exporter (the supplier) extends deferred payment terms directly to an Indian importer (the buyer) to facilitate the acquisition of raw materials, consumable inputs, or capital goods machinery.

Unlike standard 'open account' transactions, where trade credit is clean and relies entirely on bilateral trust, formal Supplier's Credit programs in India are strictly structured around bank-backed guarantees. The importer's bank in India issues a Usance Letter of Credit (Usance LC), a Standby Letter of Credit (SBLC), or a bank guarantee. This structural setup acts as a payment security mechanism. If the importer default on maturity, the bank holds an unconditional liability to pay the exporter or their discounting bank.

Under the Reserve Bank of India (RBI) regulations and the Foreign Exchange Management Act (FEMA), 1999, Supplier's Credit is classified as 'Trade Credit' (alongside Buyer's Credit). From a cash flow perspective, this structure allows Indian enterprises to access low-cost foreign exchange-denominated liquidity. Importers secure critical equipment or inventories on credit terms that align perfectly with their operating cycles, while overseas sellers receive immediate cash payment by discounting the bank-accepted bills with their local offshore financiers.

★ CRITICAL PRODUCT DISTINCTION

Supplier's Credit should not be confused with basic accounts payable or unsecured trade debt. Under RBI guidelines, formal Supplier's Credit requires the active participation of an Authorised Dealer (AD Category-I Bank) in India, who underwrites the commercial payment risk using standardized cross-border trade instruments. This structural guarantee is what enables foreign financing institutions to discount invoices at institutional rates.

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Chapter 2: Structural Taxonomy — Supplier's Credit vs. Buyer's Credit

For trainees and rookie analysts in commercial banking, the operational distinction between Supplier's Credit (SC) and Buyer's Credit (BC) is a frequent point of confusion. Both products operate under the regulatory umbrella of RBI Trade Credit rules and aim to fund cross-border imports. However, their structural mechanisms, initiating parties, and funding sources are completely distinct.

The primary difference lies in the source of financing and the financial instruments used. In a **Buyer's Credit** transaction, the local importer arranges offshore funding from a third-party bank (usually an overseas branch of an Indian bank or an international lender). The third-party bank pays the foreign supplier immediately at 'sight', and the importer remains liable to repay the offshore bank on maturity. In contrast, in a **Supplier's Credit** transaction, the credit is extended directly by the supplier. The supplier accepts deferred payment terms from the importer and arranges their own financing by discounting the importer bank's accepted Usance bills with their own bank. The importer does not negotiate with any third-party offshore bank; their primary relationship remains with the supplier and the domestic LC-opening bank.

COMPARATIVE PARAMETER	SUPPLIER'S CREDIT (SC)	BUYER'S CREDIT (BC)
Primary Credit Initiator	The Exporter / Foreign Supplier	The Importer / Domestic Buyer
Source of Offshore Funding	Supplier's discounting bank in their home country	Third-party offshore bank or overseas branch of Indian bank
Primary Security Instrument	Usance Letter of Credit (LC) / accepted Bill of Exchange	Letter of Comfort (LoC) / Standby LC / bank guarantee
Pricing Mechanics	Financing cost embedded in invoice value as a deferred mark-up	Separate interest charge sheet billed directly to the importer
Administrative Complexity	Low for the importer (handled under standard LC process)	High (requires importer to arrange offshore quotes & funding)
Primary Credit Risk Focus	Credit of the domestic LC-opening bank	Credit of the domestic importer + backing Letter of Comfort
Accounting Treatment (Ind AS)	Trade Payables (deferred supplier terms)	Bank Borrowings (offshore bank loan liability)

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Chapter 3: How the Product Structure Works: The 5-Stage SWIFT Lifecycle

A standard bank-backed Supplier's Credit transaction operates as a highly coordinated five-stage operational loop. It integrates physical commercial movements (cargo shipping, custom clearances) with secure electronic interbank telecommunication standards (SWIFT MT messages).

STAGE	PHYSICAL & COMMERCIAL ACTION	SWIFT TELECOM & LEDGER ACTION
Stage 1	Commercial Agreement: Importer and exporter sign an purchase contract specifying deferred payment terms (e.g., 180 days usance) backed by an LC.	AD Bank issues a **SWIFT MT700** (Irrevocable Usance Letter of Credit) in favor of the exporter, confirming payment guarantee on maturity.
Stage 2	Shipment & Presentation: Exporter ships the raw materials and presents the commercial invoice, Bill of Lading, and Bill of Exchange to their bank.	Exporter's bank forwards physical documents to the Indian AD Bank via **SWIFT MT752** / courier, requesting acceptance of usance draft.
Stage 3	Acceptance & Disbursal: Importer reviews cargo quality. Indian AD Bank accepts the usance draft, creating a binding payment covenant.	Indian bank transmits **SWIFT MT754** (Advice of Payment/Acceptance) to the exporter's bank. Exporter discounts accepted draft to receive cash on Day 1.
Stage 4	Custody & Cleardown: Exporter receives immediate payout. Importer takes possession of raw materials via Trust Receipt and enters them into production.	The trade transaction is logged into the RBI's **IDPMS** digital portal. Bill of Entry (BoE) is linked to matching LC details to prevent unauthorized remittances.
Stage 5	Maturity & Settlement: On Day 180, importer is contractually obligated to pay the Indian AD bank the complete invoice value + interest.	Indian AD bank remits funds to the exporter's bank via **SWIFT MT202** (General Financial Transfer), successfully closing the trade credit cycle.

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Chapter 4: Trade Underwriting Standards & Alternate Financial Appraisals

Because a Supplier's Credit arrangement involves the domestic bank taking on an irrevocable, multi-month payment risk via a Usance LC, the underwriting standards are highly rigorous. It represents a paradigm shift from traditional, asset-heavy corporate balance sheet evaluations to outward-looking, transaction-backed credit analytics.

To evaluate an importer's eligibility, bank credit officers focus on three core areas:

1. Operating Cycle Validation & Solvency Ratios

Credit underwriters must ensure that the requested credit tenure aligns with the borrower's operating cash cycle. The baseline liquidity metric evaluated is the **Current Ratio**, with a strict minimum benchmark of **1.25:1 to 1.33:1**. A lower ratio indicates that the enterprise is using short-term trade payables to fund illiquid, long-term assets, which increases default risk. Additionally, underwriters calculate the **Debt-Service Coverage Ratio (DSCR)**, requiring a minimum threshold of **1.20x to 1.25x** to verify that operating profits can comfortably service seasonal trade interest.

2. GST Portal Analytics & Sales Verification

Modern digital underwriting in India leverages real-time tax integration. Underwriters directly pull GSTR-1 and GSTR-3B filings to cross-reconcile declared purchase values against actual cargo volumes. This integration serves as an automated verification against duplicate invoice submission, circular trade fraud, and inflated billings. Consistent, timely GST tax filings act as a primary trust indicator for clean credit approvals.

3. CIBIL MSME Rank (CMR) Scoring

For small and medium enterprises, traditional underwriting is supplemented by credit bureau analytics. Banks evaluate the **CIBIL MSME Rank (CMR)**, where rankings range from CMR 1 (lowest default risk) to CMR 10 (highest default risk). A rating of **CMR 1 to CMR 4** is the industry standard for fast-track Supplier's Credit approvals, indicating strong historical debt payment behavior, minimal delinquency patterns, and robust credit discipline.

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Chapter 5: Legal Security Architecture, CERSAI, and Trust Receipts

Supplier's Credit is structured on a rigorous, multi-tiered legal framework. The primary goal is to secure the financing institution's seniority and eliminate trade fraud.

1. Statutory Assignment under Section 130 of the Transfer of Property Act, 1882

Under Section 130 of the Transfer of Property Act, 1882, trade receivables are legally classified as 'actionable claims'. To secure Supplier's Credit, the importer must legally assign these actionable claims to the funding bank. This formal assignment gives the bank the primary, senior right to collect payment directly from the importer's downstream buyers. If the importer experiences distress, downstream buyers are legally mandated to remit invoice payments directly to the bank's escrow account, completely bypassing the importer's operating accounts.

2. CERSAI Registry Filings to Prevent Double-Financing

To eliminate 'double-financing'—where a dishonest borrower attempts to secure multiple loans from different banks against the same physical current assets or unpaid inventory—lenders enforce strict filing rules. Under Section 23 of the SARFAESI Act, 2002, the bank must register its charge over the hypothecated current assets with the **CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India)** registry within a **strict 30-day window** (and under the Factoring Regulation Act, 2011, factoring assignments must be registered within **10 days**). A failure to file within this window results in the bank losing legal seniority, leaving them as an unsecured creditor in default proceedings.

3. The Legal Role of the Trust Receipt (TR)

The Trust Receipt (TR) solves a critical trade paradox: the bank holds the documents of title (and thus legally owns the cargo), but the importer must physically clear the cargo from customs to process and sell it. To bridge this, the importer executes a Trust Receipt. Under this document, the importer contractually acknowledges that they are holding the cargo and any subsequent sales proceeds **strictly in trust** on behalf of the bank. If the importer diverts these sales proceeds to other operations, it is legally classified as a criminal breach of trust under the Indian Penal Code, escalating the default from a civil matter to a criminal offense.

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Chapter 6: Market Sizing, Suitable Industries & Institutional Ecosystem

Supplier's Credit represents a major component of India's cross-border trade finance portfolio. According to trade landscape studies, import trade credit lines account for nearly **35%** of all fund-based cross-border finance. This institutional credit ecosystem is led by major Public Sector Banks (PSBs)—with the **State Bank of India (SBI)** commanding the largest volume via its extensive global branches and interbank tie-ups—complemented by private institutions like ICICI Bank and Axis Bank.

This product is best suited for high-growth, capital-intensive manufacturing industries where the raw material operating cycle is extended, or where substantial capital expenditure is required for plant modernization:

- **Consumer Electronics & Durables (Vision 2030):** Under India's 'Electronic Vision 2030' PLI (Production Linked Incentive) scheme, assemblers use Supplier's Credit extensively to import advanced microchips, display panels, and component parts from East Asia on 180-day deferred terms, aligning procurement costs with local retail realizations.
- **Auto-Components & Engineering:** Automotive components manufacturers rely on Supplier's Credit to purchase specialized steel alloy coils, heavy CNC machinery, and tooling equipment, spreading the high capital layout over multi-year usance periods.
- **Solar & Renewable Energy Infrastructure:** Solar cell assemblers utilize Supplier's Credit to procure imported PV cells on 180-to-360-day deferred payment schedules, facilitating fast project execution before long-term institutional debt is drawn down.

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Chapter 7: Commercial Pricing Mechanics & Daily reducing Balance Economics

The economic benefit of Supplier's Credit relies entirely on a concept known as **Credit Arbitrage**. This arbitrage arises because international foreign exchange interest rates (such as Term SOFR for USD) are historically lower than domestic Indian Rupee borrowing rates (such as Cash Credit lines @ 9.0% -- 11.5% p.a.).

Under strict RBI directions, the financing cost of trade credit is subject to an **All-In-Cost (AIC) ceiling**. The current regulatory cap is set at the **Risk-Free Rate (e.g., SOFR) plus a maximum spread of 250 basis points (2.50% p.a.)** for standard trade transactions. This cap includes all arrangement fees, discounting margins, and local bank guarantee margins.

COMMERCIAL COMPONENT	INDICATIVE RATE / VALUE	TAX & REGULATORY STATUS
Base Risk-Free Rate	SOFR (currently approx. 5.30% p.a.)	Base offshore benchmark rate
Financing Margin / Spread	Typically 100 to 200 bps p.a.	Subject to RBI All-In-Cost ceiling of SOFR + 250 bps
LC Issuance Commission	0.80% to 1.50% flat (per annum basis)	Charged by domestic bank, subject to 18% GST
Arrangement / Telex Fee	Flat ₹15,000 to ₹50,000 per transaction	Upfront administrative charge, subject to 18% GST
Forward Exchange Contract	Dynamic (typically 1.50% to 2.50% premium)	Essential hedging instrument to protect against Rupee depreciation

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Chapter 8: Regulatory Compliance, IDPMS, & Overdue Crystallization

Operating a cross-border Supplier's Credit program requires strict compliance with RBI trade regulations. Any procedural or compliance oversight can trigger automatic RBI caution-listing, blocking all future foreign exchange transactions.

1. IDPMS Bill of Entry Reconciliation

To prevent capital flight and illegal trade remittances, the RBI operates the **IDPMS (Import Data Processing and Monitoring System)**. Under standard FEMA guidelines, when cargo passes through custom ports, custom officers automatically log a digital **Bill of Entry (BoE)** into the IDPMS portal. Underwriters must ensure that the Bill of Entry is digitally linked and reconciled with the corresponding outward remittance detail within **180 days** of customs clearance. Unreconciled items past this window are automatically flagged, and the importer risks being classified as 'caution-listed' by the regulator.

2. Permissible Tenures under FEMA Trade Credit Directions

Under standard FEMA trade credit directions, the maximum permissible credit tenure for raw materials, inventory imports, and operating inputs is **1 year** from the shipment date. For capital goods and machinery, the usance tenure is permitted up to **3 years**. No rollover or extension beyond these regulatory boundaries is allowed without explicit, prior approval from the RBI.

3. The FEDAI 10-Day Crystallization Rule

The most critical risk for an LC-opening bank is a maturity default by the importer. If the importer fails to pay the AD bank on the usance maturity date, the bank cannot delay payments to the offshore exporter or their discounting bank. Under the strict rules of the **Foreign Exchange Dealers' Association of India (FEDAI)**, the bank must pay the overseas branch on maturity. If the importer is in default, the bank must **crystallize** this foreign currency liability into a domestic Rupee-denominated fund-based demand loan within **10 days** from the maturity date. This crystallization is performed at the ruling adverse **TT Selling Rate** of the AD bank, and overdue interest is charged at the bank's penal rate, converting a low-cost trade credit into an expensive domestic debt liability.

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Chapter 9: Comprehensive Real-World Case Study (Vibrant Solar India)

To provide trainees with a clear understanding of trade finance, we analyze a detailed, step-by-step mathematical import scenario comparing two distinct financing pathways: a standard Sight LC with local bank overdraft drawdown, and a fully hedged Supplier's Credit program.

IMPORTER / BUYER	Vibrant Solar India Pvt. Ltd. (Chennai-based assembler)
EXPORTER / SUPPLIER	Silicon Technologies AG (Munich-based solar wafer manufacturer)
CONSIGNMENT INVOICE VALUE	USD 500,000 (inclusive of shipping and custom duties)
DAY 1 SPOT EXCHANGE RATE	₹84.00 per 1 USD (Baseline conversion value: ₹4,20,00,000)
CREDIT TENURE / USANCE	180 Days (from bill of lading shipment date)
FORWARD COVER EXCHANGE RATE	₹84.60 per 1 USD (Locked on Day 1 to hedge against depreciation)

Scenario A: Standard Sight LC + Domestic Overdraft Drawdown

Under Scenario A, Vibrant Solar opens an import Sight LC. On Day 1, documents are presented and accepted, and the exporter is paid immediately. To fund this, Vibrant Solar draws **₹4,20,00,000** from its domestic bank Cash Credit/Overdraft account at an interest rate of **9.50% p.a. simple interest**.

Let's calculate the total cost for Scenario A over 180 days usance:

1. Sight LC Opening Commission: ₹4,20,0,000 * 1.20% flat = **₹5,04,000**
2. 18% GST on LC Commission: ₹5,04,000 * 18% = **₹90,720**
3. Domestic Overdraft Interest (180 days): ₹4,20,00,000 * 9.50% * 180 / 365 = **₹19,67,671**
4. Upfront Processing Fee: ₹50,000
5. 18% GST on Processing Fee: ₹50,000 * 18% = **₹9,000**

★ **Total Scenario A Transaction Cost: ₹26,21,391**

Scenario B: Fully Hedged Supplier's Credit (UPAS LC Route)

Under Scenario B, Vibrant Solar utilizes a 180-Day Usance Payable at Sight (UPAS) LC. The supplier accepts deferred terms. To secure immediate payment, the supplier discounts our bank-accepted usance LC with their local Munich bank at an offshore interest rate of **6.20% p.a.

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simple interest (SOFR + 90 bps)**, with the financing cost embedded as a markup on the deferred invoice.

To protect against exchange rate volatility, Vibrant Solar executes a Forward Exchange Contract on Day 1, locking a Day 180 rate of **₹84.60/USD**.

Let's calculate the total cost for Scenario B:

1. Usance LC Opening Commission: ₹4,20,0,000 * 1.00% flat = **₹4,20,000**
2. 18% GST on LC Commission: ₹4,20,000 * 18% = **₹75,600**
3. Offshore Supplier's Credit Interest (180 days): USD 500,000 * 6.20% * 180 / 365 = **USD 15,287.67** (GST-exempt)
4. Day 180 Principal + Interest Repayment Cost (USD 515,287.67 at the locked Forward rate of ₹84.60/USD): **₹4,35,93,337**
5. Less baseline Spot Principal (₹4,20,00,000): Net Hedging & Interest outflow in Rupees = **₹15,93,337**
6. Arranger / SWIFT Telex Fees: ₹35,000
7. 18% GST on Arranger Fees: ₹35,000 * 18% = **₹6,300**
★ **Total Scenario B Transaction Cost: ₹21,30,237**

★ **Net Credit Arbitrage Savings: ₹4,91,154** (Scenario A cost of ₹26,21,391 minus Scenario B cost of ₹21,30,237). By utilizing fully hedged Supplier's Credit, Vibrant Solar reduces its capital procurement costs, preserves valuable local bank overdraft lines, and satisfies the foreign supplier with immediate cash, while safely deferring their own cash outflow by 180 days.

Scenario C: Unhedged Exposure & Crystallization (The Downside Risk)

To evaluate downside risks, assume Vibrant Solar did not buy a forward contract (Scenario B, unhedged). On Day 180, a local liquidity crunch forces Vibrant Solar to default on its payment to the LC-opening bank. Additionally, the Rupee has depreciated significantly to **₹86.20/USD** (Spot TT Selling Rate).

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On Day 190 (the 10th overdue day), the domestic bank is legally mandated to crystallize the liability under FEDAI Rules:

1. Overdue Foreign Liability: USD 515,287.67 (Principal + Usance Interest)
2. Crystallized Rupee Loan Base (at spot TT Selling rate of ₹86.20/USD): **₹4,44,17,797**
3. Add Crystallization Penalty Fee: ₹50,000 (plus 18% GST = ₹9,000)
4. Daily Penal Interest on Rupee Base for 30 days default (at MCLR + 4% = 13.50% p.a.): ₹4,44,17,797 * 13.50% * 30 / 365 = **₹4,92,854**

★ **Crystallized Rupee Repayment Outflow: ₹4,49,69,651**

This outcome results in a catastrophic financial loss compared to the fully hedged pathway, highlighting why corporate treasuries and risk underwritings mandate forward contracts for all trade credit exposures.

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Chapter 10: 10 Scenario-Based Practice Questions & Answer Key

This chapter contains a rigorous, scenario-based practice examination designed specifically to evaluate and solidify a finance rookie's understanding of Supplier's Credit structures, legal mechanisms, regulatory compliance under FEMA, IDPMS tracking rules, and FEDAI crystallization norms.

Question 1: The Core Credit Arbitrage Thesis

How does Supplier's Credit generate financial value for a domestic Indian importer compared to standard local credit?

A) By accessing higher international interest rates to earn treasury arbitrage deposits.
B) By allowing importers to access lower foreign exchange-denominated benchmark rates (Term SOFR) backed by bank-accepted usance LCs.
C) By bypassing standard customs duties and raw material GST requirements.
D) By converting long-term capital expenditure term loans into immediate, short-term cash liabilities.

Correct Option: B

★ Rationale & Analysis:
The financial value of Supplier's Credit relies entirely on **Credit Arbitrage**. International benchmarks like Term SOFR are historically lower than domestic Rupee borrowing rates (Cash Credit / Overdraft lines @ 9.0%–11.5% p.a.). By opening a bank-guaranteed usance LC, the importer accesses low-cost offshore liquidity, reducing procurement costs while satisfying the exporter with an immediate cash discount.

Question 2: Sight vs. Usance Letters of Credit

Under standard UCPDC 600 guidelines, what is the primary operational distinction between a Sight LC and a Usance LC?

A) Sight LCs do not require any physical Bill of Lading to clear customs.
B) Sight LCs require immediate payment upon document presentation, whereas Usance LCs allow deferred payment on a specified maturity date.
C) Usance LCs are completely exempt from GST, while Sight LCs carry standard 18% tax charges.

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D) Sight LCs are issued only by foreign overseas banks, whereas Usance LCs are issued strictly by local public sector institutions.

Correct Option: B

★ Rationale & Analysis:
Under UCPDC 600, a **Sight LC** is a financial instrument that mandates the issuing bank to pay the presenting beneficiary immediately upon the presentation of matching, compliant shipping documents. A **Usance LC** provides a deferred payment tenure (e.g., 90 or 180 days), allowing the importer to receive the goods, process them into finished products, and generate sales revenue before the payment deadline.

Question 3: FEMA Usance Tenor Caps

Under standard FEMA trade credit directions, what is the maximum permissible credit tenure for importing raw materials and operating inputs?

A) Capped at a maximum period of 90 days from the shipment date.
B) Capped at a maximum period of 1 year (365 days) from the shipment date.
C) Permitted up to 3 years, provided the borrower maintains a CMR ranking above CMR 5.
D) Unlimited, subject only to the mutual commercial agreement between importer and foreign supplier.

Correct Option: B

★ Rationale & Analysis:
To prevent excessive short-term external debt accumulation, the RBI enforces strict usance caps under standard FEMA trade credit directions. Raw material and operating input imports carry a **strict 1-year (365 days) usance cap** from the date of shipment. For capital goods and machinery, the permissible credit tenure is extended up to **3 years**. No rollover or refinance is allowed past these thresholds.

Question 4: FEDAI Overdue Crystallization Covenants

If an importer fails to pay the LC-opening bank on the usance maturity date, within what maximum timeline must the bank crystallize the foreign currency liability?

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A) Must be crystallized immediately on the maturity date at the spot exchange rate.
B) Must be crystallized within a strict 10-day window from the maturity date at the prevailing TT Selling Rate.
C) Allowed up to 90 days of overdue status before any automatic crystallization is triggered.
D) Crystallization is entirely optional, depending on whether the importer holds collateral security.

Correct Option: B

★ Rationale & Analysis:
Under the strict rules of the **Foreign Exchange Dealers' Association of India (FEDAI)**, an Authorised Dealer bank cannot delay payments to the overseas discounting bank. If the importer defaults on maturity, the bank must pay the offshore branch immediately. To transfer the exchange risk and lock the default amount, the bank must **crystallize** this foreign liability into a domestic Rupee demand loan within a **strict 10-day window** at the ruling adverse TT Selling Rate, applying penal interest thereafter.

Question 5: Section 130 Receivable Assignments

How does Section 130 of the Transfer of Property Act, 1882 protect the bank when underwriting Supplier's Credit?

A) By allowing the bank to seize the promoter's residential properties without any court order.
B) By legally assigning downstream trade receivables (actionable claims) directly to the bank, bypassing the borrower's operating accounts.
C) By exempting the bank from registering charges with the CERSAI or ROC registries.
D) By converting the borrower's deferred trade payable into an equity stake in the manufacturing enterprise.

Correct Option: B

★ Rationale & Analysis:
Under Section 130, trade receivables are legally classified as **actionable claims**. When an importer assigns these claims to the bank as security, the bank secures a senior legal right over downstream revenues. If the importer experiences financial distress, downstream

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buyers are legally mandated to remit invoice payments directly to the bank's escrow account, protecting the bank from credit diversion.

Question 6: CERSAI Filing Windows

Under the Factoring Regulation Act, 2011 (with subsequent Amendments), what is the mandatory window for registering a receivable assignment charge?

A) Must be registered within a strict 10-day window from the date of execution.
B) Permitted up to 30 days from the original bill discounting date.
C) Extended up to 180 days to align with standard RBI IDPMS reconciliation timelines.
D) There is no statutory requirement to register factoring transactions with CERSAI.

Correct Option: A

★ Rationale & Analysis:
To eliminate systemic trade fraud and multiple financing, the **Factoring Regulation Act, 2011** mandates that any assignment of receivables must be registered with the central registry (**CERSAI**) within a **strict 10-day window** (reduced from the legacy 30-day window applicable to standard hypothecations). A failure to file within this timeline results in the bank losing its legal seniority, rendering its charge invalid in default proceedings.

Question 7: The RBI All-In-Cost (AIC) Ceiling

What is the current regulatory interest rate cap (All-In-Cost ceiling) enforced by the RBI for standard import trade credits?

A) Capped at a fixed flat rate of 12.0% p.a. simple interest.
B) Capped at the Risk-Free Rate (e.g., Term SOFR for USD) plus a maximum spread of 250 basis points (2.50% p.a.).
C) Legally restricted to the domestic commercial bank's 1-year marginal cost of funds (MCLR).
D) There is no regulatory ceiling, allowing lenders to charge rates based on borrower risk profiles.

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Correct Option: B

★ Rationale & Analysis:
Under RBI Master Directions, to prevent domestic companies from paying exorbitant interest rates on foreign trade debt, the cost of trade credit is subject to an **All-In-Cost (AIC) ceiling**. The current regulatory cap is set at the **Risk-Free Rate (e.g., SOFR) plus a maximum spread of 250 basis points (2.50% p.a.)**. This cap includes all arrangement fees, discounting margins, and offshore lending spreads.

Question 8: IDPMS Bill of Entry Reconciliation Covenants

Under RBI IDPMS guidelines, within what standard timeline must an importer reconcile their customs Bill of Entry (BoE) with outward remittances?

A) Must be reconciled within 30 days of shipment clearance.
B) Within a maximum window of 180 days from the date of import customs clearance.
C) Reconciled within 1 year to align with standard raw material usance caps.
D) Reconciled strictly on the usance maturity date of the accepted Letter of Credit.

Correct Option: B

★ Rationale & Analysis:
Under the RBI's **IDPMS (Import Data Processing and Monitoring System)**, a digital Bill of Entry (BoE) is automatically uploaded by customs. The importer's bank must digitally match and link this BoE with the outward foreign exchange remittance **within 180 days** of customs clearance. Unmatched entries past this 180-day window are flagged, and the importer faces automatic RBI caution-listing, restricting future trade activities.

Question 9: The Legal Role of Trust Receipts

What critical commercial paradox does a Trust Receipt (TR) solve during a Supplier's Credit import transaction?

A) It allows the importer to clear cargo from customs and process it, while legally maintaining the bank's absolute ownership of the goods in trust.
B) It exempts the bank from paying standard GSTR-3B import taxes.
C) It converts an irrevocable Usance LC into a revocable Sight LC dynamically upon shipping.

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D) It allows the foreign supplier to claim priority sector lending benefits within their home country.

Correct Option: A

★ Rationale & Analysis:
The bank legally holds the documents of title (and thus owns the goods) to secure its credit, but the importer must physically clear the cargo to process and sell it. To bridge this, the importer executes a **Trust Receipt (TR)**. This document contractually confirms that the importer is holding the cargo and any subsequent sales proceeds **strictly in trust** for the bank, making any credit diversion a criminal offense.

Question 10: GST Treatment on Trade Credit

How are GST tax guidelines applied to the interest and service fee components of a Supplier's Credit transaction?

A) GST at 18% is applied to the entire invoice value, while interest is completely GST-exempt.
B) GST at 18% is applied strictly to upfront bank fees, arranger commissions, and LC issuance charges, while interest/discount components are completely GST-exempt.
C) Interest is subject to 18% GST, while arrangement fees are completely exempt.
D) Both interest and service fee components are completely exempt from GST under FEMA rules.

Correct Option: B

★ Rationale & Analysis:
Under the Indian GST framework, interest or discount components paid to offshore banks or foreign suppliers for trade credit are completely **exempt from GST**. However, all upfront processing fees, arranger commissions, and local bank LC issuance commissions are subject to standard **GST at 18%**. Underwriters and treasurers must factor this difference into cash flow models.

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